

ELIGIBILITY MATRIX

The Eligibility Matrix provides the comprehensive LTV, CLTV, and HCLTV ratio requirements for conventional first mortgages eligible for delivery to Fannie Mae. The Eligibility Matrix also includes credit score, minimum reserve requirements (in months), and maximum debt-to-income ratio requirements for manually underwritten loans. Other eligibility criteria that are not covered in the Eligibility Matrix may be applicable for mortgage loans to be eligible for delivery to Fannie Mae, e.g., maximum loan term, allowable ARM plans. See the *Selling Guide* for details. Refer to the last two pages of this document for exceptions to the requirements shown in the matrices.

Acronyms and Abbreviations Used in this Document

ARM: Adjustable-rate mortgage, fully amortizing

DTI: Debt-to-income ratio

DU®: Desktop Underwriter®

FRM: Fixed-rate mortgage, fully amortizing

IO: Fixed-rate and ARM loans with interest-only feature

LTV: Loan-to-value ratio

CLTV: Combined loan-to-value ratio

HCLTV: Home equity combined loan-to-value ratio

Credit Score/LTV: Representative credit score and highest of LTV, CLTV, and HCLTV ratios

Effective Dates:

DU loan casefiles – Loans underwritten with DU Version 9.0

Manually underwritten loans – Loans with application dates on or after October 20, 2012

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Standard Eligibility Requirements - Desktop Underwriter Version 9.0

Excludes: DU Refi Plus, High-Balance, HomeStyle Renovation,
Manufactured Housing, and MyCommunityMortgage

Transaction Type	Number of Units	Maximum LTV, CLTV, HCLTV
Principal Residence		
Purchase Limited Cash-Out Refinance	1 Unit	FRM: 97% ARM: 90% IO: 70%
	2 Unit	FRM: 85% ARM: 75%
	3-4 Units	FRM: 75% ARM: 65%
Cash-Out Refinance	1 Unit	FRM: 85% ARM: 75%
	2-4 Units	FRM: 75% ARM: 65%
Second Homes		
Purchase Limited Cash-Out Refinance	1 Unit	FRM: 90% ARM: 80% IO: 70%
Cash-Out Refinance	1 Unit	FRM: 75% ARM: 65%
Investment Property		
Purchase	1 Unit	FRM: 85% ARM: 75%
	2-4 Units	FRM: 75% ARM: 65%
Limited Cash-Out Refinance	1-4 Units	FRM: 75% ARM: 65%
Cash-Out Refinance	1 Unit	FRM: 75% ARM: 65%
	2-4 Units	FRM: 70% ARM: 60%

Homestyle Renovation, Manufactured Housing, MyCommunityMortgage Desktop Underwriter Version 9.0 (General loan limits)

Transaction Type	Number of Units	Maximum LTV, CLTV, HCLTV
HomeStyle Renovation Mortgage		
Principal Residence		
Purchase Limited Cash-Out Refinance	1 Unit	FRM: 95% ARM: 90%
	2 Units	FRM: 85% ARM: 75%
	3-4 Units	FRM: 75% ARM: 65%
Second Homes		
Purchase Limited Cash-Out Refinance	1 Unit	FRM: 90% ARM: 80%
Investment Property		
Purchase	1 Unit	FRM: 85% ARM: 75%
Limited Cash-Out Refinance	1 Unit	FRM: 75% ARM: 65%
Manufactured Housing		
Principal Residence		
Purchase Limited Cash-Out Refinance	1 Unit Term ≤ 30 years	FRM: 95% ARM: 90%
Cash-Out Refinance	1 Unit Term ≤ 20 years	FRM: 65% ARM: 60%
Second Homes		
Purchase Limited Cash-Out Refinance	1 Unit Term ≤ 30 years	FRM: 90% ARM: 80%
MyCommunityMortgage		
Principal Residence		
Purchase Limited Cash-Out Refinance	1 Unit	FRM: 97% ARM: 90%
	2 Units	FRM: 95% ARM: 90%
	3-4 Units	FRM: 95%

Standard Eligibility Requirements - Manual Underwriting

Excludes: Refi Plus, High-Balance, HomeStyle Renovation, and MyCommunityMortgage

			Maximum DTI ≤ 36%		Maximum DTI ≤ 45%	
Transaction Type	Number of Units	Maximum LTV, CLTV, HCLTV	Credit Score/LTV	Minimum Reserves	Credit Score/LTV	Minimum Reserves
Principal Residence						
Purchase Limited Cash-Out Refinance	1 Unit	FRM: 95% ARM: 90%	FRM: 680 if > 75% FRM: 620 if ≤ 75% ARM: 680 if > 75% ARM: 640 if ≤ 75%	0	700 if > 75% 640 if ≤ 75%	0
			660 if > 75%	6	FRM: 680 if > 75% FRM: 620 if ≤ 75% ARM: 680 if > 75%	2
	2 Units	FRM: 85% ARM: 75%	680 if > 75% 640 if ≤ 75%	6	700 if > 75% 660 if ≤ 75%	6
					680 if > 75% 640 if ≤ 75%	12
	3-4 Units	FRM: 75% ARM: 65%	660	6	680	6
					660	12
Cash-Out Refinance	1 Unit	FRM: 85% ARM: 75%	680 if > 75% 660 if ≤ 75%	0	700 if > 75% 680 if ≤ 75%	0
			660 if > 75% 640 if ≤ 75%	6	680 if > 75% 660 if ≤ 75%	2
	2-4 Units	FRM: 75% ARM: 65%	680	6	700	6
					680	12
Second Home						
Purchase Limited Cash-Out Refinance	1 Unit	FRM: 90% ARM: 80%	680 if > 75% 640 if ≤ 75%	2	700 if > 75% 660 if ≤ 75%	2
					680 if > 75% 640 if ≤ 75%	12
Cash-Out Refinance	1 Unit	FRM: 75% ARM: 65%	680	2	700	2
					680	12
Investment Property						
Purchase	1 Unit	FRM: 85% ARM: 75%	680 if > 75% 640 if ≤ 75%	6	700 if > 75% 660 if ≤ 75%	6
					680 if > 75% 640 if ≤ 75%	12
	2-4 Units	FRM: 75% ARM: 65%	660	6	680	6
					660	12
Limited Cash-Out Refinance	1 Unit	FRM: 75% ARM: 65%	660	6	680	6
					660	12
	2-4 Units	FRM: 75% ARM: 65%	680	6	700	6
					680	12
Cash-Out Refinance	1 Unit	FRM: 75% ARM: 65%	700	6	720	6
					700	12
	2-4 Units	FRM: 70% ARM: 60%	700	6	720	6
					700	12

HomeStyle Renovation and MyCommunityMortgage - Manual Underwriting

(General loan limits)

			Maximum DTI ≤ 36%		Maximum DTI ≤ 45%	
Transaction Type	Number of Units	Maximum LTV, CLTV, HCLTV	Credit Score/LTV	Minimum Reserves	Credit Score/LTV	Minimum Reserves
HomeStyle Renovation Mortgage						
Principal Residence						
Purchase Limited Cash-Out Refinance	1 Unit	FRM: 95% ARM: 90%	FRM: 680 if > 75% FRM: 620 if ≤ 75% ARM: 680 if > 75% ARM: 640 if ≤ 75%	0	700 if > 75% 640 if ≤ 75%	0
			660 if > 75%	6	FRM: 680 if > 75% FRM: 620 if ≤ 75% ARM: 680 if > 75%	2
	2 Units	FRM: 85% ARM: 75%	680 if > 75% 640 if ≤ 75%	6	700 if > 75% 660 if ≤ 75%	6
					680 if > 75% 640 if ≤ 75%	12
	3-4 Units	FRM: 75% ARM: 65%	660	6	680	6
					660	12
Second Homes						
Purchase Limited Cash-Out Refinance	1 Unit	FRM: 90% ARM: 80%	680 if > 75% 640 if ≤ 75%	2	700 if > 75% 660 if ≤ 75%	2
					680 if > 75% 640 if ≤ 75%	12
Investment Property						
Purchase	1 Unit	FRM: 85% ARM: 75%	680 if > 75% 640 if ≤ 75%	6	700 if > 75% 660 if ≤ 75%	6
					680 if > 75% 640 if ≤ 75%	12
Limited Cash-Out Refinance	1 Unit	FRM: 75% ARM: 65%	660	6	680	6
					660	12
MyCommunityMortgage ⁽¹⁾						
Principal Residence						
Purchase Limited Cash-Out Refinance	1 Unit	FRM: 95% ARM: 90%	680	0	700	0
			660	6	680	2
	2 Units	FRM: 95% ARM: 90%	700	2	720	2
					700	12
	3-4 Units ⁽²⁾	FRM: 95%	700	2	720	2
					700	12

High-Balance Mortgage Loans

Manual Underwriting and Desktop Underwriter 9.0			Manual Underwriting			
			Maximum DTI ≤ 36%		Maximum DTI ≤ 45%	
Transaction Type	Number of Units	Maximum LTV, CLTV, HCLTV	Credit Score/LTV	Minimum Reserves	Credit Score/LTV	Minimum Reserves
Principal Residence						
Standard, HomeStyle Renovation, MyCommunityMortgage ⁽¹⁾						
Purchase Limited Cash-Out Refinance	1 Unit	FRM: 90% ARM: 75% IO: 70% ⁽³⁾	FRM: 680 > 75% FRM: 640 ≤ 75% ARM: 660	0	FRM: 700 > 75% FRM: 660 ≤ 75% ARM: 680	0
			FRM: 660 > 75% FRM: 620 ≤ 75% ARM: 640	6	FRM: 680 > 75% FRM: 640 ≤ 75% ARM: 660	2
	2-4 Units ⁽²⁾	FRM: 75% ARM: 65%	720	6	740	6
					720	12
Standard						
Cash-Out Refinance	1 Unit	FRM/ARM: 60%	720	0	740	0
					720	2
Manufactured Housing - Desktop Underwriter Only						
Purchase Limited Cash-Out Refinance	1 Unit Term ≤ 30 years	FRM: 90% ARM: 75%	Not Applicable			
Cash-Out Refinance	1 Unit Term ≤ 20 years	FRM/ARM: 60%				
Second Home						
Standard, HomeStyle Renovation						
Purchase Limited Cash-Out Refinance	1 Unit	FRM/ARM: 65% IO: 65% ⁽³⁾	720	2	740	2
					720	12
Manufactured Housing - Desktop Underwriter Only						
Purchase Limited Cash-Out Refinance	1 Unit Term ≤ 30 years	FRM/ARM: 65%	Not Applicable			
Investment Property						
Standard						
Purchase Limited Cash-Out Refinance	1-4 Units	FRM/ARM: 65%	720	6	740	6
					720	12
HomeStyle Renovation Mortgage						
Purchase Limited Cash-Out Refinance	1 Unit	FRM/ARM: 65%	720	6	740	6
					720	12

DU Refi Plus and Refi Plus⁽⁴⁾

(General and high-balance loan limits)

DU Refi Plus

Transaction Type	Number of Units	Maximum LTV	Minimum Credit Score
Limited Cash-Out Refinance, Fully Amortizing Fixed-Rate ≤ 30 Year Term			
Principal Residence	1-4 Units	No Limit	No Minimum
Second Home	1 Unit	No Limit	No Minimum
Investment Property	1-4 Units	No Limit	No Minimum
Limited Cash-Out Refinance, Fully Amortizing Fixed-Rate > 30 Year Term and ARMS with Initial Fixed Periods ≥ 5 years			
Principal Residence	1-4 Units	105%	No Minimum
Second Home	1 Unit	105%	No Minimum
Investment Property	1-4 Units	105%	No Minimum

Refi Plus

Limited Cash-Out Refinance, Fully Amortizing Fixed-Rate ≤ 30 Year Term			P&I Changes ≤ 20%	P&I Increases > 20%
Principal Residence	1-4 Units	No Limit	No Minimum	620
Second Home	1 Unit	No Limit	No Minimum	620
Investment Property	1-4 Units	No Limit	No Minimum	620
Limited Cash-Out Refinance, Fully Amortizing Fixed-Rate > 30 Year Term and ARMS with Initial Fixed Periods ≥ 5 years			P&I Changes ≤ 20%	P&I Increases > 20%
Principal Residence	1-4 Units	105%	No Minimum	620
Second Home	1 Unit	105%	No Minimum	620
Investment Property	1-4 Units	105%	No Minimum	620

Notes – Exceptions Applicable to ALL Matrices Other than DU Refi Plus and Refi Plus

105% CLTV Ratio/Community Seconds®: With the exception of ARM loans and loans secured by manufactured housing, the CLTV ratio may exceed the limits stated in the matrices up to 105% only if the mortgage is part of a Community Seconds transaction. However, 5-, 7-, and 10-year ARM loans and manufactured housing with a Community Seconds are limited to the LTV/CLTV/HCLTV ratio stated in the matrices.

The following are not permitted with Community Seconds: second homes, investment properties, cash-out refinances, ARMs with initial adjustment periods less than 5 years, loans with an interest-only feature, and co-op share loans.

Cash-out refinances: If the property was purchased within the prior six months, the borrower is ineligible for a cash-out transaction unless the loan meets the delayed financing exception in the Selling Guide (B2-1.2-03, Cash-Out Refinance Transactions). If the property was listed for sale in the past six months, the LTV/CLTV/HCLTV ratios for a cash-out transaction are limited to the lower of 70% or the maximum allowed per the matrices.

Co-op properties: The following are not permitted with co-op share loans - subordinate financing, investment properties, cash-out refinances on second home properties, and an interest-only feature.

Construction-to-permanent: These transactions are subject to the applicable eligibility requirements based on the loan purpose. Single-closing transactions are processed as purchases or limited cash-out refinances, and two-closing transactions are processed as limited cash-out or cash-out refinances. Exceptions: mortgage loans secured by manufactured housing or units in a condo or co-op project are not eligible for construction-to-permanent financing. If the transaction is a single-closing construction-to-permanent loan, and the age of the credit or appraisal documents exceed standard guidelines, there are exceptions to the eligibility requirements. See B5-3.1-02, Conversion of Construction-to-Permanent Financing: Single-Closing Transactions.

Continuity of obligation: If the borrower is unable to demonstrate an acceptable continuity of obligation, the maximum LTV/CLTV/HCLTV ratios may be limited. See B2-1.2-04, Continuity of Obligation.

Current principal residence pending sale, converting to second home or investment property: Additional reserve requirements apply to these transactions. See B3-4.1-01, Minimum Reserve Requirements.

Employment-related assets: Exceptions to the eligibility requirements apply if this type of asset is used as qualifying income. See B3-3.1-09, Other Sources of Income.

FL condos: Lower LTV/CLTV/HCLTV ratios may be required for certain mortgage loans depending on the type of project review the lender performs for properties in condo projects in Florida. See B4-2.2-12, Geographic-Specific Condo Project Considerations.

Manufactured housing: Loans secured by manufactured homes must be underwritten with DU. See DU matrices.

Multiple financed properties: Borrowers of second homes or investment properties who own five to ten financed properties are subject to lower LTV/CLTV/HCLTV ratio limits, other eligibility exceptions, and additional reserve requirements. See B2-2-03, Multiple Financed Properties for the Same Borrower.

Non-occupant co-borrowers: For manually underwritten loans, if the income of a non-occupant borrower is used for qualifying purposes, lower LTV/CLTV/HCLTV ratios are required. See B2-2-04, Guarantors, Co-Signers, or Non-Occupant Co-Borrowers.

Nontraditional credit: Exceptions to the eligibility requirements apply when one or more borrowers are relying on nontraditional credit to qualify (including, but not limited to, 36% maximum DTI ratio and 0 months reserves). See B3-5.1-01, General Requirements for Credit Scores.

Notes - Specific to Certain Transactions

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| (1) | Community Solutions™ and Community HomeChoice™: Different reserve requirements and DTI ratios apply to these transactions. (These products are not supported in DU.) See B5-6-04, MyCommunityMortgage: Additional Eligibility and Underwriting Requirements for Community Solutions and Community HomeChoice. |
| (2) | Community Solutions and Community HomeChoice: Loans must be secured by 1- or 2-unit properties; 3- and 4-unit properties are not permitted. |
| (3) | High-balance interest-only: These transactions must be underwritten with DU, and are not permitted in conjunction with HomeStyle Renovation or MyCommunityMortgage loans. |
| (4) | DU Refi Plus and Refi Plus: Are subject to a unique limited cash-out refinance definition, and other unique subordinate lien requirements. Exceptions to the LTV ratio limits apply to Texas Section 50(a)(6) mortgages. There is no maximum CLTV or HCLTV ratio limit for any DU Refi Plus or Refi Plus mortgage loan. See Section B5-5.2-01, DU Refi Plus and Refi Plus Eligibility. |